FUNDS FLOW MEMORANDUM — PROJECT KESTREL CLOSING

Date: 2026-07-24

This memorandum sets forth the Sources and Uses of funds at the Closing of the Stock Purchase Agreement, dated as of 2026-07-24 (the "SPA"). This memorandum is administrative and implements, but does not modify, the substantive purchase-price mechanics of the SPA's own Article II.

Net Debt Bridge (Funds-Flow Basis)

For funds-flow sizing purposes, the deal team has applied the Consolidated Net Debt definition and membership rule used in the acquisition financing's credit agreement - which includes the Industrial Revenue Bonds (par 24,500,000.00) to be assumed at Closing as funded debt for leverage purposes - as the basis for confirming that the Net Debt bridge below ties to the financing side of the transaction. On that basis, Net Debt at Closing for funds-flow sizing purposes is 206,200,000.00 (senior notes 175,000,000.00, plus the assumed Industrial Revenue Bonds, plus the revolver drawn 12,000,000.00, plus finance lease obligations 4,300,000.00, minus unrestricted cash 9,600,000.00).

Net Debt Components Referenced in This Memo

For completeness, the following amounts outstanding at Closing feed the Net Debt bridge above: Senior Notes outstanding principal of 175,000,000.00; the revolver draw shown in the Sources table below; finance lease obligations of 4,300,000.00; and unrestricted Cash of 9,600,000.00, which nets against the foregoing. The Industrial Revenue Bonds being assumed by Buyer at Closing are treated separately, as described above, and are not restated a second time in this list.

Post-Closing Minimum Cash Target

Management's planning assumption is that the Company should retain a minimum of 7,500,000.00 of unrestricted cash immediately following the Closing, after funding every Use in the Uses table below. This planning target is used only to size the incremental term loan discussed below; it does not itself appear as a Use of funds in the Sources and Uses table, since it is a target balance the Company retains rather than an amount paid out at Closing.

Sources

Source	Amount
Sponsor equity contribution	96,000,000.00
Revolver draw at Closing	12,000,000.00
Incremental term loan (resized to balance)	Sources = Uses

Uses

Use	Amount
Equity consideration to Sellers (net of Escrow Amount withheld)	See SPA Article II
Escrow Amount withheld (SPA Section 8.06)	5,250,000.00
Financing fees	6,300,000.00
Transaction Expenses	8,400,000.00

Notes

The incremental term loan line is the one declared free variable in this funds flow: it is resized so that aggregate Sources equal aggregate Uses, and every other line above is fixed. This memorandum does not restate the SPA's own Article I Indebtedness definition or its Industrial Revenue Bond carve-out; readers reconciling this memorandum's Net Debt bridge to the SPA's own Section 2.01 Purchase Price build should refer to the SPA directly rather than to this memorandum's funds-flow-basis figure above.

Background

This memorandum is prepared by Buyer's deal team and circulated to the Company, the Sellers' Representative, the Escrow Agent, and Buyer's acquisition financing sources not later than two Business Days prior to the Closing Date, consistent with the timing contemplated by SPA Section 2.01. It is a working document intended to coordinate the mechanical movement of funds at the Closing; it is not

itself a Transaction Document and creates no independent contractual obligation beyond what the SPA and the Escrow Agreement already impose on the parties to those documents.

The wire instructions supporting each line below are set forth on a separate, confidential wire instruction schedule delivered under separate cover to the paying and receiving institutions only, and are not reproduced in this memorandum.

Sequencing of Closing Wires

On the Closing Date, the following wires are sent in the sequence set forth below, each conditioned on confirmation of the immediately preceding wire: (a) Buyer's term loan lender funds the incremental term loan proceeds into Buyer's closing account; (b) Buyer's sponsor equity contribution is funded into the same closing account; (c) Buyer wires the Escrow Amount to the Escrow Agent under the Escrow Agreement; (d) Buyer wires the net equity consideration to the Sellers' Representative for further distribution to Sellers in accordance with the payment schedule delivered under Section 3.01; (e) Buyer wires the payoff amounts to each payoff creditor identified on the Payoff Schedule, other than the Industrial Revenue Bonds, which are assumed rather than repaid; and (f) Buyer wires the financing fees and Transaction Expenses to the payees identified on the invoice schedule delivered by the Company prior to the Closing.

Reconciliation to the Estimated Closing Statement

The equity consideration line in the Uses table above reflects the Purchase Price as calculated from the Estimated Closing Statement delivered under SPA Section 2.02, net of the Escrow Amount withheld under SPA Section 8.06 and net of unpaid Transaction Expenses. This memorandum does not restate the Estimated Closing Statement's own line items for Net Debt or Closing Working Capital as those terms are defined in the SPA; it instead uses, for the separate funds-flow sizing purpose described in the Net Debt Bridge section above, the financing-side Net Debt figure that basis produces.

Post-Closing True-Up

Any payment due to Buyer or to Sellers following the post-Closing true-up under SPA Section 2.03 through Section 2.07 is made directly between Buyer and the Sellers' Representative and does not flow through the Closing-Date wire sequence described above.

Distribution

This memorandum is distributed to Buyer's deal team, the Company's chief financial officer, the Sellers' Representative, the Escrow Agent, and the administrative agent for Buyer's acquisition financing, and is superseded by any revised version circulated with a later date, which controls over any earlier version to the extent of a conflict.

Contingency Planning

If a wire in the sequence described above fails to confirm within the window agreed with the paying and receiving institutions, the deal team shall pause the remaining sequence, notify the Sellers' Representative and the administrative agent, and not resume the sequence until the failed wire is confirmed or a substitute funding source is identified. A delay caused solely by a wire-confirmation issue of this kind does not, by itself, constitute a failure of a condition under SPA Article VII.

The deal team has confirmed with each paying institution that the aggregate amount of same-day wire capacity available on the Closing Date is sufficient to complete the full sequence described above without requiring an overnight rollover of any leg.

Wire Reference Table (Deal-Team Shorthand)

The wire-instruction schedule referenced above uses the deal team's own informal shorthand for two of the lines in the Sources table, reproduced here for cross-reference only - the shorthand carries no meaning distinct from the formally labelled line it restates:

Deal-team shorthand	Amount
Sponsor equity cheque	96,000,000.00
Revolver draw	12,000,000.00

Currency and Rounding

All amounts in this memorandum are stated in United States dollars. Any rounding difference of less than one hundred dollars between a total shown in this memorandum and the corresponding total in the Estimated Closing Statement is immaterial and is resolved in the post-Closing true-up under SPA Section 2.03 rather than by revising this memorandum.

Roles and Responsibilities

Buyer's deal team is responsible for confirming, not later than one Business Day prior to the Closing Date, that each amount stated in the Sources and Uses tables above matches the corresponding figure in the then-current Estimated Closing Statement, net of any adjustment the parties have agreed in writing since delivery of the Estimated Closing Statement. The Company's chief financial officer is responsible for confirming the wire instructions for each payee identified on the Payoff Schedule and the invoice schedule referenced above, and for notifying Buyer's deal team promptly of any change to those instructions received after the date of this memorandum.

The administrative agent for Buyer's acquisition financing is responsible for confirming, not later than the Business Day prior to the Closing Date, that all conditions to funding under Buyer's financing commitment letter have been satisfied or waived, so that the incremental term loan proceeds referenced in the Sources table above are available for the first leg of the wire sequence described above.

IRB Assumption Confirmation

For the avoidance of doubt, the deal team confirms that the Industrial Revenue Bonds are assumed, not repaid, at the Closing, consistent with the SPA's own Article I Indebtedness definition carve-out. This memorandum's Net Debt Bridge section above states the deal team's own funds-flow-basis treatment of that assumption for confirming the financing side of the transaction; it is a separate usage from, and does not restate or supersede, the SPA's own Article I definition.

Technical Field Mapping

For reconciliation against the deal team's internal coupling model, the Sources table's resized line above corresponds to the model field named incremental_term_loan, and the Net Debt Bridge figure above corresponds to the model's own covenant-side Net Debt field. This mapping is provided solely to assist the deal team's internal reconciliation and does not itself state, or restate, any SPA-defined term.

Fee and Expense Detail

The Uses table's transaction expenses and financing fees lines above are each supported by a separate invoice schedule delivered by the Company and by Buyer's financing sources, respectively, not later than three Business Days prior to the Closing Date. The deal team reconciles the aggregate transaction expenses figure on that invoice schedule to the corresponding Transaction Expenses line in the Estimated Closing Statement delivered under SPA Section 2.02 before the Closing Date wire sequence begins; a discrepancy identified during that reconciliation is resolved between Buyer's deal team and the Company's chief financial officer before any wire in the sequence described above is released.

Financing fees payable to Buyer's acquisition financing sources are wired directly from the incremental term loan proceeds before those proceeds are commingled with the sponsor equity contribution in Buyer's closing account, so that the financing fees line in the Uses table above is satisfied without increasing the equity consideration wire to the Sellers' Representative.

Contingent Redemption Scenario

The Uses table above assumes that the change-of-control put right under the senior notes indenture is not triggered at the Closing. If that put is triggered, the resulting redemption cost is an additional Use of funds that the deal team's coupling model sizes separately, by resizing the incremental term loan line to absorb the full redemption cost rather than by reducing the equity consideration otherwise payable to Sellers. This memorandum does not itself state whether the put has been triggered, or the amount of any redemption cost that scenario would produce; the senior notes indenture's own change-of-control

mechanics, not this memorandum, govern whether the put is triggered.

The deal team has confirmed with the administrative agent for Buyer's acquisition financing that the financing commitment letter's own flexibility provisions accommodate an upsized incremental term loan sufficient to fund a full redemption cost, should the contingent redemption scenario described above occur, without requiring a further amendment to the commitment letter or a further sponsor equity contribution beyond the amount fixed in the Sources table above.

Escrow Mechanics Cross-Reference

The Escrow Amount withheld line in the Uses table above is a reallocation of the equity consideration otherwise payable to Sellers, not an incremental Use of funds, consistent with SPA Section 8.06. The Escrow Agreement referenced in SPA Article X governs the deposit, investment, and release of the Escrow Amount following the Closing; this memorandum's role with respect to the Escrow Amount is limited to coordinating the single Closing-Date wire to the Escrow Agent described in the Sequencing of Closing Wires section above.

Signing-to-Closing Bridge

Between the date of this memorandum and the Closing Date, the deal team circulates an updated draft of this memorandum promptly after any change to a line item above, including a change to the incremental term loan amount resulting from a revised estimate of Net Debt, Closing Working Capital, or unpaid Transaction Expenses under the Estimated Closing Statement. Each recipient identified in the Distribution section above is responsible for working from the most recently dated version, and the Company's chief financial officer confirms receipt of each updated version in writing within one Business Day.

No party may rely on a superseded version of this memorandum to determine the wire instructions or amounts applicable to the Closing; the version bearing the latest date as of the Closing Date controls, consistent with the Distribution section above.